



PRODUCT BROCHURE · TRUST SERVICES

Cumulus Testamentary Trust

A trust that comes into existence through a decedent's will at death, administered by Cumulus as trustee for the benefit of minor children, second-marriage spouses, or other beneficiaries requiring structured long-term support.

TRUST TYPE	Testamentary — created under decedent's will
FUNDED	At death, through the probate estate
ROLE	Trustee · Co-trustee · Successor trustee
TYPICAL USES	Minor children, QTIP, credit-shelter, GST
MINIMUM ANNUAL FEE	\$5,000
STANDARD FEE TIER	0.95% on first \$2M, tiered thereafter
AUTHORITY	State probate code + applicable Uniform Trust Code
STANDARD OF CARE	Prudent-investor rule under UPIA

AT A GLANCE

Overview

A testamentary trust is a trust created by the terms of a will and funded through probate at the decedent's death. Unlike a revocable living trust — which is created and funded during the grantor's lifetime — a testamentary trust has no existence until the will is admitted to probate and assets are distributed to it from the estate. Testamentary trusts are frequently used to provide structured support for minor children, surviving spouses in second-marriage situations, and beneficiaries for whom an outright distribution is not appropriate.

Investment products are not FDIC insured, not bank guaranteed, and may lose value. Assets held in a testamentary trust are managed under the prudent-investor rule and remain subject to market risk.

WHERE THE INSTRUMENT FITS

Commonly drafted testamentary trusts

TRUSTS FOR MINOR CHILDREN Trusts for minor children Hold assets for a child until a stated age or graduated staging (typically a third at age 25, a third at 30, and the balance at 35). Common when both parents die while children are young.	QTIP MARITAL TRUST QTIP marital trust Qualified terminable interest property trust that provides lifetime income to a surviving spouse, with the remainder to children from the decedent's first marriage. Qualifies for the unlimited marital deduction under IRC §2056(b)(7).
CREDIT-SHELTER (BYPASS) TRUST Credit-shelter (bypass) trust Funded with the deceased spouse's applicable exclusion amount; bypasses the surviving spouse's estate for estate-tax purposes while providing ascertainable-standard distributions.	GENERATION-SKIPPING TESTAMENTARY TRUST Generation-skipping testamentary trust Uses the decedent's GST exemption at death; preserves wealth across generations without intermediate transfer-tax cost. May remain perpetual in qualifying jurisdictions.
SPRINKLE / SPRAY TRUST FOR DESCENDANTS Sprinkle / spray trust for descendants Discretionary trust for a class of descendants with flexibility to respond to changing family circumstances, under a standard such as health, education, maintenance, and support (HEMS).	INCENTIVE OR PROTECTIVE TRUST Incentive or protective trust Includes provisions that encourage productive behavior or shield a beneficiary from their own decision-making — used thoughtfully and with trustee discretion.



A COMPARISON

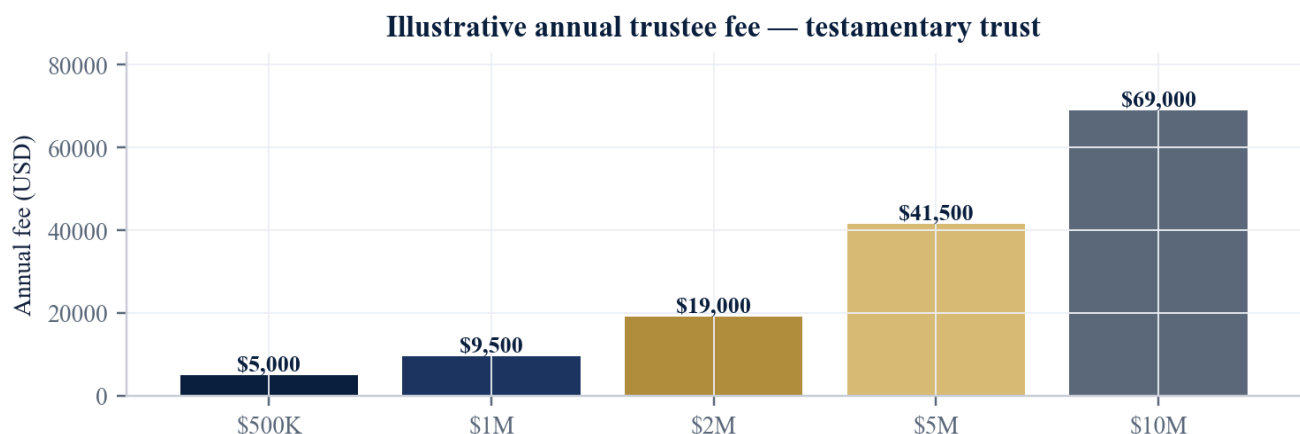
Testamentary vs. inter vivos trusts

CONSIDERATION	TESTAMENTARY TRUST	INTER VIVOS REVOCABLE TRUST
When created	At death, through the decedent's will.	During the grantor's life.
Funding	Through probate; may require ancillary probate in each state where real estate is owned.	By lifetime retitling of assets; avoids probate.
Court supervision	Often subject to ongoing court supervision during administration (state-specific).	Generally no court supervision absent a contested matter.
Privacy	Will is a matter of public record when admitted to probate.	Remains private unless contested.
Incapacity planning	Does not apply; trust does not exist until death.	Successor trustee may administer during grantor incapacity.
Administrative cost	Probate costs + ongoing trustee fees.	Trustee fees only after the grantor's death.
When it fits	Modest estates; minor children; specific structured distributions; GST or credit-shelter trusts at death.	Most estates with real estate, business interests, or a privacy priority.

ANNUAL COST

Illustrative trustee fee across common sizes

Testamentary trusts are administered under the same tiered fee schedule as other Cumulus trust administration services. The chart below shows the illustrative annual fee at common trust sizes; the minimum annual fee is \$5,000, and a one-time setup fee of \$2,500 applies at funding.



A NOTE ON PROBATE COSTS



Because a testamentary trust is funded through probate, the decedent's estate bears probate filing fees, executor commissions, and estate attorney fees before the trust is established. These costs vary materially by state; a funded inter vivos trust avoids them at the cost of upfront funding effort during life.

FROM PROBATE TO ADMINISTRATION

How the trust is established and funded

STEP	WHAT HAPPENS	TYPICAL TIMING
1 · Will admitted to probate	The executor (or administrator) files the will, inventories assets, and gives notice to beneficiaries and creditors.	1–3 months
2 · Estate administration	Debts, taxes, and expenses of the estate are paid; any ancillary probate is initiated.	6–18 months
3 · Trust acceptance	Cumulus reviews the trust provisions of the will, accepts the appointment in writing, and obtains an EIN for the new trust.	7–15 days
4 · Funding	The executor distributes the trust's share of the estate to Cumulus as trustee; assets are retitled into the name of the trust.	At closing of estate
5 · Administration	Cumulus invests and distributes under the trust's standard (HEMS, ascertainable, or discretionary); prepares annual accountings; and files fiduciary tax returns.	Ongoing

WHAT CUMULUS DELIVERS

Fiduciary responsibilities

Administration

- Receipt of assets from the estate; preparation of a funding receipt to the executor.
- Registration of assets in the name of the trust; EIN application and opening of custodial accounts.
- Distribution decisions made under the trust's standard, documented in writing.
- Annual accounting to beneficiaries under the applicable state Uniform Trust Code.
- Fiduciary tax returns (Form 1041, state equivalents) and Schedule K-1s prepared by the Cumulus fiduciary tax group.

Investment

- Written investment policy statement calibrated to the trust's purpose, distribution standard, and time horizon.
- Management under the Uniform Prudent Investor Act with portfolio-level risk and return.
- Impartiality between income and remainder beneficiaries; use of unitrust or power-to-adjust where permitted.
- Diversification unless the trust instrument directs retention of a specific asset.
- Periodic review of the investment program, documented no less frequently than annually.

**COMMON QUESTIONS**

Frequently asked questions

Why would I use a testamentary trust instead of a revocable living trust?

For many clients, a funded revocable living trust is preferable because it avoids probate. Testamentary trusts remain common in a few scenarios: when the estate is modest and the cost of trust administration during life is not justified; when the goal is solely to provide a vehicle for minor children's inheritance if both parents die young; or when the client values the public court supervision that probate provides.

Who is responsible for funding the trust?

The executor (or administrator) of the estate. After estate debts, taxes, and expenses are paid, the executor distributes the trust's share to Cumulus as trustee, who acknowledges receipt. Coordination between the executor and the trustee is essential; Cumulus often serves as both when appropriate.

What is a HEMS standard?

'Health, education, maintenance, and support' is an ascertainable standard recognized under IRC §2041 for distributions to a beneficiary without causing estate-tax inclusion at the beneficiary's death. Most testamentary trusts use the HEMS standard or a narrower subset; the trustee exercises discretion within that standard.

Can the trust terminate and distribute outright at some point?

Yes. Many testamentary trusts include staged distributions (for example, one-third at age 25, one-third at 30, balance at 35) or a single outright distribution at a specified age. The trust terminates when all assets have been distributed and the final accounting is approved.

How are income and principal distributions taxed?

Distributions that carry out distributable net income (DNI) are taxed to the beneficiary. Distributions of principal that do not carry out DNI are generally tax-free. The Cumulus fiduciary tax group issues Schedule K-1 to each beneficiary and retains any remaining income at the trust level (taxed at compressed fiduciary rates).

DISCLOSURES & REGULATORY NOTICES

Important disclosures

§ Investment products and advisory services are offered through Cumulus Investment Services, LLC, a registered broker-dealer (member FINRA / SIPC) and an SEC-registered investment adviser, and an affiliate of Cumulus Bank, N.A.

§ Securities and advisory products: NOT FDIC INSURED · NOT BANK GUARANTEED · MAY LOSE VALUE · NOT A DEPOSIT · NOT INSURED BY ANY FEDERAL GOVERNMENT AGENCY.

§ Asset allocation and diversification do not ensure a profit or protect against loss in a declining market. Past performance is not a guarantee of future results.

§ Before investing, carefully consider the investment objectives, risks, charges, and expenses. Request a prospectus or Form ADV Part 2A disclosure brochure from your Cumulus advisor and read it carefully before investing.

§ Trust services are offered through Cumulus Trust Company, N.A., a national trust bank and affiliate of Cumulus Bank, N.A. Acceptance of a fiduciary appointment is at the discretion of Cumulus Trust Company, N.A. based on review of the will, the nature of the assets, and applicable state probate law.

§ Testamentary trusts are subject to the probate process of the state in which the decedent was domiciled. Probate procedures, fees, and ongoing court supervision vary by state.

§ Cumulus does not provide legal or tax advice. Confirm the appropriateness of a testamentary trust for your specific circumstances with your attorney and tax professional.



NEXT STEPS

Speak with a Cumulus wealth advisor

A Cumulus advisor will review your objectives, time horizon, and tax considerations; explain the products and services available to you; and deliver a written proposal. Requests received today are typically returned within one business day.

ADVISOR LINE

954.417.2880

Client Services, Mon–Fri 7:00 a.m. – 9:00 p.m. ET · Sat 8:00 a.m. – 5:00 p.m. ET

ONLINE

cumulusbank-demo-bb054209d76d.herokuapp.com

Apply online, review rates, or schedule an appointment.

PRIVATE OFFICE

Wealth Management offices are available by appointment. Request a meeting at cumulusbank-demo-bb054209d76d.herokuapp.com/wealth.

Cumulus Bank, N.A. · NMLS #2026045 · Member FDIC · Equal Housing Lender · © 2026 Cumulus Bank, N.A. All rights reserved. Cumulus Bank is a fictitious institution created for demonstration purposes; the disclosures, rates, and product terms contained in this brochure are illustrative only and do not represent an actual financial product or offer of credit.